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ON YOUR OWN, OR CALL IN THE EXPERTS?

My Uncle David made out very well in the stock market.

He had nothing to do with the securities industry. He was in retailing (small-town women's clothing stores), and the only stocks he bought were those of companies in the businesses he knew—other retailers, apparel manufacturers, and suppliers to the industry. He could judge these companies' products, pricing, and distribution muscle, and he knew what was key to look for in their financial statements, particularly any changes in inventories, cash flows, and bank debt. Sometimes he knew managements personally and had strong opinions about their ability and honesty.

But his main edge was that he knew store buyers. Goods ordered aren't manufactured and shipped until months later, so by chatting with buyers, he had a fairly good idea in March what kind of earnings the clothing makers would be reporting in September and December. Buying into businesses he understood, he made a good deal of money over more than a half century in the market.

Whether you are attracted to the growth or the value school of investing—Uncle David probably never even thought about such labels—you first have to make the big decision: are you, like my uncle, going to build a portfolio yourself, or are you going to turn